

2025 Feb 12 Nerdy Nuances and Negotiation Nuggets w Marty

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00:00:00 Speaker 1

Okay, I've got I've got a lot to go over. And uh based on the attention that I got on Slack, i i thought i'd have more people here. But that's okay. Well let's dive in. Hopefully this will be useful. So I've got 10 or 12 different contract nuances that you can leverage for your client that will turn you into a hero for them and possibly save or gain them thousands. Thousands of dollars, and I am also going to throw most people wanted the contract, you know, the nerdy contracts leveraging maneuvers. So I am going to spend most of the time on that. But I've also got four or five negotiating nuggets, I call them that are easy to implement that will also save or gain your clients, many dollars, maybe thousands of dollars. So okay let's go for it so.

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I'm going to rattle them off real quick, but before I do that, I want to know. Are there any things that you're wondering about the contract or negotiating tactics either one that you think we should cover in the next 50 or so minutes. Okay. All right. Good enough. Let's dive in. So just to rattle off what I'm going to go over. So, I'll start with the negotiating tips. So there's five of them that I can touch on today. The power of goodwill is probably the most undervalued negotiating tactic that I want to teach you. It's simple, but like I said, Very powerful in. While you're all the way from the pre- negotiation stage all the way through closing and beyond.

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Uh, help. So, let's see if a listing is overpriced, or uh the comparables are hard to find to justify the price, even if your gut tells you that price is correct, you can use that fact to your advantage. And this comes up actually quite often. Um You, there are there's some simple scripting you can use with the listing agent to um uh to leverage that fact and make it much more likely that a lower offer will be accepted. So I'll go over that scripting. Okay, if you're in the buyer's position or the seller's position, whether to use a formal backup offer or to be an informal backup status, That can on both sides of the on either side, whether as a buyer or a seller, like I said that can which route you choose can make a big difference in your negotiating position. So we'll cover that. Um.

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Let's see, and I have two different repair negotiation techniques I want to show you. One is one I learned from Craig, and that's to pre-negotiate repairs. And like before the repair negotiations even come up, There are certain expectations. You can set that will save thousands of dollars when they do the walkthrough with the inspector, and they find out that it has an older roof or an older furnace or something like that. And then finally. When repair negotiations do come up and you're on the buy side, There's a simple thing that you can do that will make it so that the seller is much more likely to accept your request for repairs. So we'll cover that kind of stuff. But first, I'm going to try to go over about a dozen different, well maybe ten, ten to twelve different contract maneuvers that you can use. We're going to talk about how to leverage earnest money.

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As a buyer, let's see. We're going to talk about earnest money due dates and a recent story, Recent experience like last week or maybe two weeks ago that we had with Heather's client about how to leverage the earnest money due date in favor of the seller. Okay, We're going to talk about possession like delayed possession versus versus a leaseback and how that can be important, whether you are on the buyer or the seller side. How to deal with assessments in section four point three. There's two types of assessments: municipal assessments and HOA related assessments. We'll talk about both. Um, We're going to talk about a a hidden second due diligence deadline. That's in the contract that you can use, you can leverage especially as a buyer, but you should also be aware of it as a seller's agent. Uh let's see we're going to talk about whether you should um.

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Remind the other side of the transaction about upcoming contract deadlines. How that can work for or against you. We're going to talk about the response deadline and how to leverage that, how to handle that. We're going to talk about something called a contingent cancellation, okay? Sometimes I refer to this as the ultimatum addendum. This has saved many contracts and many thousands of dollars of earnest money. Let's see.

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How a cool way to handle escalation clauses and whether and how to use counteroffers when dealing with escalation clauses. And then again, I mentioned backup offers. This can be a negotiation tactic, But it can also it's also something you should learn to use as a contract maneuver. So we're going to dive into any of that. Any of those get your attention in particular? We can start with those. All right then, I'll go in the order that I want. Okay, so like I said, Most of the people that responded said they were more interested in the uh, the contract maneuvers. So we're we're going to start with that. I keep looking off to my right, because I have these all written on the board. So um let's just go down the the list in in the order

that they appear in the contract. That's the order I've got them written up there. So let's start with leveraging leveraging earnest money. So as a buyer um.

00:06:18 Speaker 1

There's a couple of different things that you could do with earnest money. One is does not bear much explanation, but if you increase the earnest money, let's let's say for example, You've you're doing a five hundred thousand dollar purchase and your earnest money is one percent of the purchase price five grand. That's fairly common. So, you got a five thousand dollar, earnest money deposit, half a million dollar purchase. So uh. How much might your down payment be in a situation like that? It could be lots of things, but give me an example. I don't know if maybe you guys are in a situation where you're not able to come in. That's okay. I'll give you an example. Oh, Mindy?

00:07:07 Speaker 2

I just didn't have one yet, so I'm listening.

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No problem, no problem. Uh, thank you for the feedback. So, um, uh let's see. One example could be, let's say you're doing an FHA loan, okay, on a 5000 purchase that's going to be three and a half percent will be your down payment, right? So on a 5000 purchase, you know, on a normal day, I can do that in my head, but today I'm not smart enough to do that. Uh. So that's going to be here's my calculator.

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Five hundred thousand times point oh three five seventeen thousand five hundred, right? Okay, So your down payment on an FHA purchase at three and a half percent is going to be seventeen thousand five hundred. Well, Your earnest money's five thousand ;. You are going to have to bring in another twelve thousand five hundred at closing, plus your closing costs. So chances are You've got more than five thousand dollars available when you are starting this contract. Okay, so in that scenario, I would probably up my earnest money to ten or fifteen thousand. The reason for that is because the the contract is very buyer friendly, and we'll talk about a few of those things here in a minute. But if your agent is on top of things and even more than that, if your agent is using a.

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Decent transaction coordinator, then you're going to stay on top of the deadlines. The earnest money is going to stay protected all the way to and through closing. So, if you've got 5000 in earnest money, you probably have 15000 in earnest money. If, you're the seller and you've got multiple offers, and they're all about the same except one guy's offering. Five grand and the other guy's offering 15 grand in earnest money, which one of those two are you more likely to go with?

00:09:14 Speaker 2

I think typically the one with more earnest money.

00:09:17 Speaker 1

Typically the one with more earnest money. Why is that?

00:09:20 Speaker 2

Just because there's more in your favor for if something doesn't fall through, There's usually more potential for your client to at least have paid recompense for their time, basically.

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That's exactly right. So if the buyer defaults, the buyer fails to perform on that contract, the seller stands to gain more. With when there's more earnest money, what the seller rarely considers is what I want to teach you now. The second reason to increase your earnest money as a buyer. Let's say it's a five hundred thousand dollar purchase. There is multiple offers, And you are upping your earnest money to gain the seller's favor and win the offer, right? Just like Mindy, just described. It's perfect tactic for that. But let's say right after you go under contract with the seller, the seller gets an offer that is.

00:10:11 Speaker 1

20,000 above yours. That's happened to me and my buyers multiple times. Right after we go under contract, the seller will get a much more attractive offer than mine. Maybe it's all cash, who knows? Or maybe they can close in three days. Well, The seller can - it's a breach of contract -, but the seller can cancel your contract in order to go with the other offer. The higher offer, the seller will net more on that. But like I said, that's a breach of contract; they are usually aware of that. What they don't usually consider is the fact that if they do that, not only will you get your fifteen grand in earnest money back, but the seller now owes you another fifteen grand. Okay, So um upping your earnest money is not just more likely to to win you the offer and make it easier to negotiate in other ways, but it's also.

00:11:09 Speaker 1

Insurance against somebody swooping in and you know taking your contract away from you. So that that can be a helpful thing there. I had one seller that canceled after going under contract, and fortunately for the seller, there was only one thousand dollars of earnest money at stake. I advised the seller before they canceled that they're going to have to pay that to the buyer, And they, for them, it was worth it to cancel the contract and pay that earnest money. So, so that's a handy trick to use. Okay, I mentioned that also having to do with earnest money is using the earnest money due dates. So this is an interesting thing that came up. Heather had a listing has a listing, and she went under contract with an unrepresented buyer. These were investors who buy and sell a lot of homes, and so they thought it'd be a great idea to.

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To save some money on commissions or whatever, and purchase the home without the aid of a buyer's agent. So Heather did the appropriate forms because there is an unrepresented buyer disclosure form and all that. That all went great because she had a great TC working for her. And um uh, The buyer failed to deposit the earnest money on time, but canceled the next day due to due diligence reasons. And what they did, this investor offered full price on the home. I think the price of the home was 350. They did their inspection and right after the inspection, They offered to keep the contract if the seller was willing to lower the price to 280,000. So it's legal for them to do that?

00:13:02 Speaker 1

But it is not honest. These investors were did not drop it from three fifty to two eighty because of the inspection. These investors were always planning to go under contract and then threaten to drop it or cancel the contract, drop the price rather or cancel the contract. So uh, but they didn't. They didn't do that. Uh they didn't cancel the contract until um after the earnest money was due. Their logic was they didn't have to deposit the earnest money yet Because the due diligence deadline was not for another day or two, well, their logic was incorrect. So we sent as soon as that earnest money deadline had passed, we double checked and had not received their earnest money. It was supposed to be deposited with us. And, we found out what they were planning to do the two hundred eighty thousand dollars maneuver. And so we advised our clients to cancel the contract.

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Instead of the buyers canceling, we canceled first. And because we canceled first, Then now that five thousand dollars earnest money deposit from those investors is due to the sellers. So now the seller, the buyers have to pay the five grand to the sellers anyway. So that's a five thousand dollars trick that was fun.

00:14:22 Speaker 3

How did you find out they were going to drop their offer?

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They told us they had not done it via addendum. They just told Heather, they said, "Hey, We did the inspection, and we're going to send you an addendum to change the price to 280." They hadn't sent it yet, but they gave Heather that heads up. And knowing that, that was coming. And you know, the sellers had already told Heather, "No way. We're not going to do that. We're not going to drop the price to 280. " So, we knew that this was going to be a bust and that the buyer would cancel if they didn't agree. So rather than the buyer canceling, We decided to cancel first based on the fact that their earnest money was late, which is a breach of contract. How do you like that? So um the the client was very happy that we were able to leverage the, the contract knowledge, against that buyer in favor of the seller. And I felt good

about it because what like I said, what the buyer was doing is a dishonest tactic. It's it's.

00:15:25 Speaker 1

It's legal, but it's not appropriate in my opinion. Um, okay. Other questions about that one? Okay, let's talk about delayed possession versus uh leaseback. So this a this super common. So you've got a let's see, we could pick whether we're on the side of the buyer or the seller. Let's say we're on the buyer side.

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And in order to make our offer more attractive to the seller, We're going to offer to let the seller remain in the property for a week or a month after closing. Okay, and this like I said, this is something that's done quite a bit. It makes our offer more competitive. Um it makes it so that the seller is paying the utilities, usually you know until we take possession. And th- the question comes up If you're not going to charge the seller for that for staying the week, so so let's just talk about it in terms of one week, a shorter time period because that's more likely to be real. If you're not charging the seller, so if you're not going to charge the seller, you can on the contracts just do delayed possession. Um or you can do a leaseback with a leaseback. You as the buyer take on the role of a landlord. Okay.

00:16:47 Speaker 1

Meaning that if there are problems with the property, things like that, they are your responsibility. Just like with any landlord or lease situation. In the case of delayed possession, uh you're taking on no such responsibility. Okay? It simply means that the contractual obligation of the seller to turn over possession to the buyer is delayed. Instead of being upon recording, It's going to be 48 hours after recording or seven days after recording or whatever the threshold. Is that you guys agree on. In that scenario, The seller is still contractually obligated to turn over possession to the buyer in the same condition. It was in when it went under contract. Meaning, if there's a if there's damage to the property, it's now the seller's responsibility to repair that even if it happened after closing. So case case study for you very short case study, Carter and I were working on a deal with a.

00:17:43 Speaker 1

A seller. I usually learn this stuff by something going badly, and that was the case here too. Carter's seller agreed to delayed possession with the buyer. In other words, Carter's seller was allowed to stay an extra week or ten days or something like that by the buyer. The buyer is an investor from out of state, and we closed the deal and like a couple days after closing, The upstairs neighbor, this is a condo. The upstairs neighbor's water heater blew and leaked all the way down through the walls into our unit and ruined some flooring and wrecked some drywall. Well, because it was delayed possession, Our seller was obligated to make those repairs before turning possession over to the buyer. If we had done a leaseback, which that buyer probably would have accepted.

00:18:41 Speaker 1

Then the responsibility for the repairs would have fallen on the buyer. So, in that scenario, we could have saved our client. I think it ended up being about fifteen hundred bucks and a lot of headache. So we learned from that one, right? So, that's you can. So. So to recap that one real quick for buyers delayed possession is better. If you are representing the seller. Leaseback is better because it transfers those responsibilities to the other party. Okay, any questions on that one,

00:19:16 Speaker 2

Depending on loan type, is there different amounts of time or different variables that would allow, which would they would be able to do?

00:19:26 Speaker 1

Um that's a great question. And I haven't run into that as an issue because either way, most. What we call Guppy loans, the FHAs and the VAs and stuff. Most of those loans are going to require that the buyer occupy the property within 60 days of closing. And in most scenarios, we're not talking about delayed possession of that long. And in that scenario, I have not seen a distinction between using a leaseback or using delayed possession.

00:20:00 Speaker 1

So, I don't think the lenders make that distinction. I don't think they care as long as the buyer moves in within sixty days of closing. So, that's a good question. You may where you may run into an issue is occasionally, a lender will have what they call an underwriting overlay, which means that on top of the government requirements, they have their own additional requirements. Still, I have not seen them draw a distinction between delayed possession versus leaseback, but they might require Require the buyer to occupy sooner than sixty days. So that doesn't exactly answer the question, but it answers a related question. I hope that helps. Okay, excellent. Let's see. So that was possession, that was in section three point three of the RepC. Let's move to section four point two and four point three of the RepC. Um, I am going to try to do this visually here real quick.

00:20:58 Speaker 1

Because I think that helps, so let me do a quick screen share and I'll pull that up. So we're going to grab a Repsy. Okay, can you see the screen? Yeah. All right, excellent. Okay, so this is the section we're looking at. We're looking at section 4.2 to begin with, special assessments. I'm going to do this really fast because there's there's a bunch of other things that I want to get to here, but Mark and I have talked a lot about this. Hi Mark. Okay, special assessments can be levied by HOAs, but they can also be levied by municipal utility districts and other authorities. Even school districts can levy special assessments.

00:21:54 Speaker 1

Um, If they're putting in putting in a new school or planning to put in a new school,

um, And you as the buyer's agent or the buyer are not necessarily going to be aware of these special assessments. The seller may not even be aware of them. Okay. And this says that this section four point two says that if any special assessments come up before closing, they would be the responsibility of the buyer or seller or both. Okay. And in this market there is no reason To mark anything other than seller. Don't mark N A because you're certain there are no assessments coming, because I'm telling you, you are not certain that there are no assessments coming. You cannot be. Even the seller cannot be certain that there are no assessments coming. And, there is no seller in this market that will reject this section being marked as seller paid unless they know there's an assessment coming, okay?

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And that should be your clue that there's a problem is they reject four point two being marked seller. You follow me on that? Section four point three C is the same idea. This mostly addresses HOA stuff, okay? Section four point three C. But, unless you've already done a title search and already received disclosures from the seller, Which when you're filling this out, ninety nine percent of the time you have not. You can't be sure that what's on the MLS listing is correct as far as there being no HOA, no special assessments coming, no transfer fees that are going to hit you. So don't mark this NA. NA is not a term that's defined by the contract. You can't put any weight on it. It doesn't mean anything in this contract. Mark seller, okay? If there are truly no HOAs and truly no assessments and truly no transfer fees, your seller will not object to this.

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Not in this market. If we go back to a twenty twenty twenty one market, different story. All bets are off. Okay, but in this market that we've been in for years now, no seller will reject that unless he's hiding something. Okay, does that make sense? You with me on that? Okay, uh any questions on four point two four point three?

00:24:13 Speaker 1

Nope. All, right. Thank you again for the feedback. Okay. Now did you guys know that? Hidden in the repsie is a second due diligence deadline that usually comes after your first due diligence deadline. You want to see it? Mark's nodding his head. Okay, let's go there. So I'm going to go back to our repsie. What section do I have there? Section 8. 3 B I You guys think that this is a financing condition, and it is.

00:24:48 Speaker 1

But it is also a second due diligence deadline. I'll show you why. Eight point three B, financing is required. Section I, eight point three B I, buyer's right to cancel before the financing and appraisal deadline. If the buyer, and here's the next four words are the kicker in buyer's sole discretion. Okay. I'm going to read that again, if buyer in. Buyer's sole discretion is not satisfied with the terms and conditions of the loan.

Buyer may, after the due diligence deadline, Cancel the REPC by providing written notice to seller no later than a financing appraisal deadline. Whereupon, and most of the time this is marked zero, zero dollars of buyer's earnest money deposit shall be released to seller. Now okay it says.

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In buyer's sole discretion, the buyer is not satisfied with the terms and conditions of the loan. Then the buyer can cancel and leave zero dollars of earnest money behind. This is a second due diligence deadline, ladies and gentlemen. Because if it's in the buyer's sole discretion, what influence can the seller have on the buyer's sole discretion? How do we know if the, If the terms of the financing are or should be acceptable to the buyer, if it's in the buyer's sole discretion. Okay, What if the price of gasoline went up two cents this month? And for that reason, it no longer, Though the terms of the loan no longer fit with what the buyer is comfortable with? Okay, What if the wrong candidate got elected to president last month? And they did not consider all the financial ramifications of that?

00:26:42 Speaker 1

And that no longer fits with what the financial picture of the buyer is because they're nervous about what might happen in the future. Buyer's sole discretion, folks. There's no additional documentation required. Okay, now that's the reality of the contract. The um. Now I'm going to give you a couple of quick tips on how to leverage it. Okay, I don't generally let my buyers know about this I let my sellers know about this, But I don't generally teach my buyers about this because I want them to make up their minds. Uh by the due diligence deadline about whether they're going to accept this property. I want them to make up their minds. I want them to to uh negotiate in good faith with the seller to get repairs on whatever things they want to do by the due diligence deadline. But if something comes up, you can use this as a safety net.

00:27:40 Speaker 1

Um, for your buyers to so that they can cancel if they need to cancel. Any any questions on that one? So, what do we put in for the amount of money for the buyer record on the buyer's section? Okay, if you represent good question mark. So the question is what do we put in that box? If we represent the buyers when you're filling out the contract. Well, I recommend leaving it blank putting a zero or my habit. Oh it's not gonna. Let me oh yeah. My habit is I, just put three. Or four lines there to make it clear that it should be blank. Okay, or leave or put a zero in there. Okay, what if you are representing the seller? If you are representing the seller, you should know that this is a second due diligence deadline. Even though most agents don't understand that, a well experienced and an astute agent will understand that. So, you should make sure that your seller is aware of the risk of the fact that they could cancel after the due diligence deadline with no.

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Financial consequences to them. Okay, Or you can counteroffer when you get an offer like this, because ninety percent of offers right now are have zeros in that box. You can counteroffer that and say, you know, give if you cancel after the due diligence deadline, then I want half your earnest money or something like that. That's somewhat common, even though like I, said ninety percent of these boxes are coming in with zeros. Good question Mark. Okay.

00:29:10 Speaker 1

Any questions on that one are are these helpful to know? Okay. Okay. Uh, let's see new construction fees. This one is one of my favorites. Okay. So we're going to the new construction Rep C. We're gonna. We're going to the standard new construction Rep C, which. Is used by a few of the larger production builders, but um whoops that's the wrong form sorry folks. Let's try that again. Real estate purchase contract there it is. Um actually mark can you do me a favor?

00:30:05 Speaker 1

Can you call Sarah and have her call Sophia? Yes, she'll know exactly what that's about. Okay, sorry about that. Okay, okay, new construction. I really appreciate that, Mark. New construction. Um, okay. One thing that's common with a new construction deal is that uh you'll get to the end of the transaction, and for some reason, things will be late uh often. Delayed by the lender or delayed by the buyer providing documentation to the lender. So for whatever reason, you know, you are closing a few days later than the builder wants. Sometimes, You'll run into certain builders that are impatient for whatever reason, and they're allowed to be. The contract allows them to be impatient. The contract usually says if you are closing late, there is a hundred or two or three hundred dollars a day.

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Penalty that the buyer has to pay. Thank you. Um if you're closing late and um that can rack up really fast, if you're on a five day delay at 300 a day, that's you know, fifteen hundred dollars that, that short delay can cost your buyers. Here's the trick. Most builders do not follow the protocol required in the repsie. Uh. In order to collect that money, what I am talking about is this. So, In the standard new construction rep, see section where t here is a twelve point two substantial completion. Okay, This, so the closing deadline is almost always based on substantial completion when the home is complete. When the home is complete, You have seven days to close or three days to close or ten days to close, whatever their requirement is okay. Um.

00:31:59 Speaker 1

This little section, this paragraph twelve point two describes exactly what counts as substantial completion. The residence shall be considered substantially complete when occupancy is allowed under the rules of the appropriate jurisdiction where the residence is located. And when there are no rules, then it's complete when only

minor work needs to be done. But, there's always rules like we always close in a jurisdiction that requires a certificate of occupancy, okay? So Subject to the exceptions referenced in section thirteen, which we're not going to go into, the substantial completion deadline shall be as referenced in section twenty four e. That's the deadline. That's where it's like three days after substantial completion or ten days after or whatever. Seller shall provide buyer written notice of substantial completion of the residence. Okay, so two things have to happen. One is that the builder has to receive this certificate of occupancy. That is the trigger that says that.

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The uh the residence is substantially complete. They receive the C of O. Okay, The second thing that has to happen is this one I just read : Seller shall provide buyer written notice of substantial completion. That's what triggers that um closing deadline. If the seller does not properly if the builder does not properly provide written notice of substantial completion to the buyer, that clock That stop watch is not triggered. The time doesn't start. Okay, We're going to skip ahead to section 19 because this describes in more detail exactly how the notices have to be sent. Okay, except as in section 25, All notices required under the REPSCI, including the one we were just talking about, must be in writing and signed by the buyer or seller, giving notice and received by the buyer or seller or their agent.

00:33:51 Speaker 1

Or by the brokerage, okay. No later than the deadline date. This is the part that the builders usually fail at. Their practice, Most builders' practice is to simply email a copy of the C of O, and they call that notice of substantial completion. It ain't, okay? It's not signed, okay? So it has to be signed by the builder. So they can't just email you something. They have to email you a notice signed by them that says That the residence is substantially complete, they do not have to provide you a copy of the C O. That's a matter of public record; you can get your own. They usually do send it to you though, okay? So, when that? Now how do you? How do you leverage that against the builder who wants to charge your client three hundred dollars a day for a late closing? Well.

00:34:43 Speaker 1

The way you do that is you do not point out, well, Mr. Builder, you didn't provide me written notice as per section 19 and section 12.2 of the Rep C, therefore we're not late in closing. Because what do you think they're going to do if you say that? They're going to immediately provide you written notice with a signed thing, okay? Thus blowing your advantage. What, you're going to do is you're going to say, oh, man, okay, gee, golly, Mr. Builder, You're right we're late, Gosh darn it, we're going to do our our darnedest to get that done right away. Okay, and most of the time they're actually going to waive that. But I have had uh I can't judge them by saying jerk builders because maybe they were in a financial bind that our delay exacerbated. So so I'm going to say, I have had builders that were sticklers on that

delay fee uh and wanted to charge hundreds and hundreds of dollars to my seller or to my buyer, rather.

00:35:39 Speaker 1

And, you do you just do that? Gee golly I'll I'll we'll do our darnest I promise. We'll get this done in the next couple days. Okay, then they they try to stick that charge to you, and that's where you say. Well, we've never received notice of substantial completion, then they can't charge the fee. So that's how we do that. And yes, I know this is on the standard new construction rep. See, usually, we do not have the standard new construction rep. See because we work with a larger builder, but uh, most. Builder contracts, most custom builder contracts that I have worked with have very similar provisions written into them. And the builders have no idea that that's what they've put in their own contracts. So um uh, so be just this where the phrase know thy contract comes from. Okay. This part of why we want to review the contract before your client signs it and hands it over to the builder.

00:36:36 Speaker 1

If you don't have time or patience to review it, call me. I can usually work something out with you. For some reason, I really enjoy reviewing those. I actually have about a dozen and a half sample builder contracts that I've collected where I have highlighted where the gotchas are in their contract, and I can share those with you. Okay, any questions about any of that?

00:37:01 Speaker 1

Okay, hopefully that will be helpful to you someday. Or better said, Hopefully, it will never be helpful to you because you won't have a late closing on a new construction deal. Okay, let me talk about deadline reminders and Mark this is especially for you too. I think we've talked about this a little bit. So um it is our practice sometimes as humans, Because, we are full of goodwill, and we want the transaction to go the way it is supposed to go. We want things to go the way they're supposed to. We want things to go how we predict them. We tend to try to remind our counterpart on the other side of the transaction of an upcoming deadline. "Hey, I haven't seen the disclosures yet, they're due tomorrow, just a quick reminder." Or let's say you're on the seller side.

00:37:53 Speaker 1

Hey, our due diligence deadline is in two hours at five o'clock. And I haven't heard anything from you guys. Just want to see what you guys are thinking. Okay, same with financing and appraisal deadline. Just checking on you. Financing and appraisal deadline is today at five, and I haven't heard anything from the buyer, buyer's agent or from the appraisal. Just want to see where you guys are. So I am telling you stop doing that, Okay, I'm not telling you to stop being a good person or stop wanting things to go as predicted. No, no, not at all. But, you have a license issued by the state of Utah to perform this service for your clients. And that license has a duty

associated with it. And more specifically, The agency agreement you signed actually spells out a duty that you have of loyalty to your client.

00:38:46 Speaker 1

Above loyalty to your counterpart on the other side of the transaction. What I mean by that, I don't mean stop doing favors for the other side, But what I mean by that is stop doing things that will potentially cost your client an advantage. Here's an example. Actually, the example I gave of Heather's transaction is perfect for that. We could have reminded the buyer, Hey, earnest. Money is due today at five, and we haven't seen it yet. And. Then we would have had zero advantage with them. When in fact, because we didn't remind them, They were at a disadvantage, and we were able to take advantage of their default. Okay? And, it doesn't feel good all the time to pull those levers and to leverage somebody else's mistake or lack of understanding of the contract. It doesn't always feel good.

00:39:40 Speaker 1

But I'm telling you, I. Just want to remind you one more time that the agency agreement that the state requires us to sign with our clients requires you to exercise loyalty for your client, uh, over loyalty to your counterpart on the other side of the transaction. Okay? Any questions about that? So stop reminding the other side to meet their deadlines, okay? Okay. Um okay. Let's talk about section 25 of the RepC. Section 25, right there at the top. Okay, are we still doing a screen share? Yes we are, cool. All right, section 25: Offer and Time for Acceptance. This the response deadline, right? That was a trick question because it's not. This what kind of deadline is this? Is it a response deadline?

00:40:46 Speaker 1

What is it? It's a deadline for what? Acceptance. Acceptance. Yeah, Mindy, I think you said that, but I didn't hear you. Sorry. You're right. This is a deadline for acceptance. So what if you're going to counteroffer? Yeah, this deadline does not apply to counteroffers.

00:41:16 Speaker 1

So, If you're the seller and you receive an offer and the acceptance deadline is tomorrow at 10 a.m. I don't care if the buyer's agent told you it was a response deadline. Hey, our response deadline is tomorrow at 10 a.m. There is no response deadline in the Repsy. There is no response deadline in the Repsy. There is only an acceptance deadline. The reason for that is because any changes to the contract have to be accepted by buyer and seller. Okay, if you make an a counteroffer, that constitutes a change to the to the rep see. That change must be approved by buyer and seller. And it will be, because if your counteroffer is accepted by the other party, now it's been accepted by both. Okay, So the contract is not a contract until every change is accepted by both in writing with signatures. That's why you do not need a counteroffer deadline.

00:42:16 Speaker 1

And that's why it is only an acceptance deadline. Okay, so it's not necessary to write into a counteroffer, you know, by the way, the response deadline for the offer was yesterday at 10:00 p.m. because they didn't counter us until 9:00 p.m. That's not necessary. In fact, it's kind of confusing and it doesn't help the contract. And I know you might have to teach this to the agent On the other side of the transaction because a lot of agents don't understand that. So I apologize that you may have to be the teacher there um if they still don't get it, and they insist on putting that phrase in the contract. It doesn't ruin everything we can live with that, but it's not necessary. And like I said, you do not have to counter offer by the response deadline because there's no response deadline. Okay, hope I've driven that home any questions on that one.

00:43:14 Speaker 1

Okay, let's do contingent cancellation. And, Darren and I have a training at the end of the month that will go a little more in depth on some of these less often understood addenda. But, this is a really useful tool when you have somebody on the other side of the transaction dragging their feet. Okay, contingent cancellation sometimes I refer to this as the ultimatum addendum. What it says it's used It's pre-written to handle due diligence and financing and appraisal deadlines. But, you can use that language in there for settlement deadline or or anything else. What it says is, we're canceling this contract unless you agree to the following terms. And it's usually an extension, okay? We're going to cancel this contract unless you agree to extend the due diligence deadline by fill in the blank days, okay? Or until fill in the blank date. Here.

00:44:13 Speaker 1

Here, let me just pull it up real quick. Forms contingent cancellation. Okay, here it is. Contingent cancellation extension of deadlines. Seller and buyer hereby agree to the following : due diligence deadline is extended to, you know, whatever date. Okay, as easy as that. And if you don't, Then here it is right here :. If for any reason, seller does not accept the. Terms of this addendum in its entirety by the deadline provided below. And we're going to say like, you know, By today, at five, because today, at five is the due diligence deadline, and we still can't get you to agree to our repair requests. Okay. But we think we might still be able to convince you, you know. Anyway, so so we do that that today at five they're still not responding. We're going to say, okay, if you don't accept this by the due diligence deadline, then this becomes our cancellation.

00:45:13 Speaker 1

That makes sense. So this is a contingent cancellation or it's an ultimatum. You must agree to extend our deadline, but if you don't agree to extend it by the due diligence deadline, which is today or whatever day it is, then this contract is automatically canceled. That's a way to protect your client's earnest money. But use

this with caution. And I say that because if you read the language of this, it's very cold, It is very ultimatumy. That's why I call it the ultimatum addendum. It's not a warm fuzzy type of language of necessity. So, if you send this to the, uh, usually you'd be sending this as a buyer agent to the listing agent, if you send this to the listing agent, Highly recommend, you accompany that with a phone call. And if you can't do it with a phone call, because they're still not responding, Do it with a text or an email, maybe the email that you send this addendum with.

00:46:07 Speaker 1

Introduce it like saying, "Look, I know the language of this addendum is is very cold and abrupt. But we really have no desire to cancel this contract. We're only doing this because we can't get a response or because we can't haven't come to terms yet or because we need more time. Say whatever you're going to say, but we really don't desire to cancel the contract. And in fact, If uh if the deadline for this repsie comes and goes and then the seller's not able to respond in time." We still want to continue the contract, and we intend to reinstate the contract after the deadline. I would go to that extent in your conversation or at least your introduction via email with the listing agent, so they don't think you're just throwing the whole thing away. Okay, it keeps the conversation alive but it very strongly protects your client's position. Okay, hopefully this is a helpful one to know about.

00:47:02 Speaker 1

And like I said, Darren and I in a couple of weeks are going to go more in depth on this one. And a whole bunch of other addenda with which most agents are not familiar. I bet you guys weren't aware of that one. Okay, we only have ten minutes left. We can talk. I need your input on this one, Jenna and Minnie. We can talk and Mark, okay? We can talk about escalation clauses. How to deal with escalation clauses, whether you should use a counteroffer with an escalation clause. We can talk about whether to accept a formal backup addendum or whether to write one as a buyer. And, then we still haven't talked about some of the negotiation stuff like the power of goodwill, Getting the listing agent to understand that they're overpriced without telling them that they're overpriced. Pre-negotiating repairs or.

00:47:57 Speaker 1

Leveraging an inspection report to get your sellers to accept more repair requests. Okay, there's not enough time to cover all those things. Is there anything on that list that you guys want to hit first? I know Mark's more interested in the contract stuff.

00:48:18 Speaker 2

I don't have a preference, I'm happy with any.

00:48:21 Speaker 1

Okay, let's keep going down the contract stuff. And, then we'll see if we have time to hit a couple of the negotiation ones. Okay, we talked about contingent cancellation.

Let's look at escalation clauses and counteroffers. Mindy, Do you have you used an escalation clause before? Or are you familiar with what that is?

00:48:40 Speaker 2

So, we came across them a few times when we were like with some clients and I were putting offers in on homes and everything. So a little bit, but it's just been a minute so okay.

00:48:53 Speaker 1

Well then, let's perfect. Let's do that then. Just so kind of high level and actually let me pull up. No, that'll take too long. Um, we we have there. There is no UAR approved escalation clause. Okay? There's no UAR approved addendum for that. Like like I just showed you the contingent cancellation That's a UAR approved That's, not it wherever it is The one you just saw There. It is That's a UAR approved addendum. The escalation clause, there is no UAR approved addendum. We wrote one with the help of an attorney. Okay, it's still not UAR approved, but it is it was drafted by an attorney. What it does is it says okay here's our offer on the house. The REPSI has the offer five twenty five, okay. Um but we recognize that there are likely to be competing offers on the house, and we want to beat them.

00:49:51 Speaker 1

But we don't know how much they are. We don't know how high we have to come in in order to beat those competing offers. So, An escalation clause says we will beat any competing offer at least X amount above their offer, okay? A common amount is a thousand dollars. Because a common amount is a thousand dollars, I advise my clients to do two thousand or twenty five hundred, okay? It usually gets more attention and the difference between an Offer of five, twenty five and five, twenty six is often not very compelling when you are the seller looking at these two offers. They're essentially the same, so anyway, so so it does that. It says we're going to beat anybody's offer. We're going to buy twenty five hundred bucks or a thousand bucks up to a cap. Okay, you usually want to put a cap in there. In fact, You always want to put a cap in there because if you get a competing offer.

00:50:47 Speaker 1

That's six hundred thousand, and the house is not worth anywhere near that. Your buyer might be on the hook, so don't forget the cap. The template that we have, that was written by an attorney, does include that of course. Okay, And there are more details to it, but you can use that to prevent your buyer from overspending on a house when there's multiple offers. Here's the trick. Let's say, in that let's uh, we recently let's see Janet didn't we just use this on a uh, a submission that you made. In fact, I think that's why that number 525 is in my head.

00:51:25 Speaker 3

Yes, we did.

00:51:26 Speaker 1

Okayum so is it okay, if I I share a little information on that one,

00:51:32 Speaker 3

Of course,

00:51:33 Speaker 1

Okay. So we just wrote an offer with an escalation clause for 525 and the buyer decided that they, and that was the if I remember, right? That's the list price on the house. And the buyer was is actually okay going up to five seventy five. Okay, Uh um but they don't want to overpay if they don't need to. So we suggested that they do five, twenty five, but beat any other offer by twenty five hundred with a cap of five seventy five. There's a risk in expressing a cap that high, the benefit of expressing a cap that high is.

00:52:12 Speaker 1

That, you're uh, you are putting your buyer in a strong position to outbid other buyers up to a level that the that your buyer is still comfortable. That's a win, if your buyer can outbid the other buyers by just a little twenty five hundred bucks without over um without you know, having to do it by very much up to a level that they're still comfortable. And that's a win for the for your buyer. It's also win for the seller. Okay. Here's the risk as the buyer. If you have a cap that's up to 575, Then it's possible that the seller can simply send you a counteroffer, ignoring the escalation clause right at 575. Is that not possible? Of course it's possible.

00:52:58 Speaker 3

Yes, and we're getting a counteroffer today, but I don't know the amount.

00:53:03 Speaker 1

And yeah, I'm I am very interested in seeing that amount too. Um.

00:53:13 Speaker 1

You should know as buyer's agents, Most sellers will be so enwrapped in the escalation clause that they will not think of doing that. In fact, I don't think I have ever had a seller do that to me as a buyer's agent. So it's still usually worth submitting expressing that high cap as long as they're comfortable with that number. But I usually explain, To my buyer, exactly what I'm telling you guys. It's possible that they could send you a counteroffer all the way up to your cap, and you'll have to deal with that. You can accept it or reject it, But you may not ever get to know how much the other offers were for. But I've never had a seller do that, and I don't know why they do that. I just think they're totally distracted by the escalation clauses and their listing agents are too.

00:54:10 Speaker 3

And it can get really confusing, we think, When there are multiple escalation clauses and a lot of paperwork. Very true. They are trying to simplify everything.

00:54:20 Speaker 1

Even more, yeah, even more distracting. And perhaps in that scenario, They would just ignore all the escalation clauses and just do a straight up counter. And so Jenna, I'm half expecting that to be the case when when that one comes in. But I really don't know, we'll just have to seeum I have never had that tactic fail. Sorry, go ahead.

00:54:42 Speaker 3

Yeah, no. Never mind.

00:54:47 Speaker 1

Okay, fair enough. Let me know when that comes in. I am super interested, of course, like we've talked about. Okay, so that's escalation clauses. So, you can use that to your advantage on the seller side. If you get an escalation clause people, why would you not counter straight up to their cap? Do it because they they're already telling you that they're comfortable with that much higher amount as a listing agent. You should counter up to the cap. Okay, let's see. What else have we got? Any other questions? I hope Asha's not listening. No, she's not. I made sure of that. Asha is.

00:55:24 Speaker 3

I was going to say something and then I was like, I better not say it because if she is.

00:55:28 Speaker 1

No, She is not, in fact, maybe i'll have michael delay posting this video until after you get the counteroffer. Okayum. Uh, let's see. Okay, any other questions on that? All right, let's go. Let's oh we've only got one minute left. Uh that's not really enough time to go into backup offers. I will end with with my favorite negotiation tactic. Okay, I use several shrewd negotiation tactics. This one is my favorite because it is because it is the opposite of that. And it's probably the most effective tactic I've got. And it's.

00:56:09 Speaker 1

Goodwill, okay? And you can exercise goodwill throughout the transaction. Most of us have been involved in some kind of negotiation, real estate or otherwise, Where our negotiating counterpart is a jerk or acting like a jerk or hard nosed or bullying or something during the, you know, either from start to finish or when the finer points start to matter or whatever it is. It doesn't apart from not feeling good, it's also not as effective as using goodwill. Okay, What I'm talking about is assuming that the other side wants to win, and uh assuming that your negotiating partner is just that your partner, not your adversary. They're your counterpart in the discussion. They are not your opponent. Okay? Um, we recognize they're trying to do the best thing for their client, which may come at the expense of ours. And we're trying to do the best thing at.

00:57:05 Speaker 1

For our client, which may come at the expense of theirs. The most successful negotiation ends when both parties are satisfied. Okay? You'll also know it was a successful negotiation by the way, when both parties left something on the table that they didn't want to. When that happens, it's usually because you succeeded in negotiating. Both sides succeeded overall. Okay? Goodwill can come into play at many points in the transaction. I'm not just talking about when getting somebody to accept your offer or you counter offering or something like that. I'm not just talking about the beginning of the contract. If you exercise goodwill at the front, You're much more likely to have successful negotiations in your client's favor when it comes to repairs, extensions, delays. Your client turns in their earnest money late. You know all this kind of stuff that you may still need to negotiate. You may still be negotiating after.

00:58:01 Speaker 1

At the closing table. In fact, that's quite common. So using goodwill throughout the transaction is going to give your client an advantage, not if, but when a hiccup comes along in the transaction, that could cost your client, thousands and thousands of dollars, if you had not maintained goodwill with your negotiating partner throughout the transaction. You follow me on that? It is one of the least used negotiation tactics And one of the most powerful ones that I can teach you. It has served me and my clients tens of thousands of dollars and and eighteen years now, and it's my favorite one. But there are lots there are like I said, I also use more shrewd ones. So we'll talk more about those at a future training. Okay, anything else we should be talking about before we wrap up? Okay, thank you for the feedback and the interaction.

00:58:59 Speaker 1

Jenna, let me know if you hear something before I do. And otherwise, let's go do some real estate, you guys.

00:59:05 Speaker 2

Thanks so much, Marty.

00:59:07 Speaker 1

Yep, I'll see you guys later.